

**SENATE SUBSTITUTE FOR
HOUSE BILL NO. 5806**

A bill to amend 1967 PA 281, entitled
"Income tax act of 1967,"
(MCL 206.1 to 206.847) by adding sections 281 and 678.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 281. (1) Except as otherwise provided under this section,**
2 **for tax years that begin on and after January 1, 2027, a qualified**
3 **taxpayer may, in a form and manner as determined by the department,**
4 **claim a housing opportunity tax credit for a qualified project**
5 **against the tax imposed under this part in an amount equal to the**
6 **amount listed on the allocation report for that qualified taxpayer**
7 **for that qualified project. Except as otherwise provided in**
8 **subsection (2), a qualified taxpayer that is an owner shall claim a**
9 **housing opportunity tax credit listed on an allocation report for**



1 the owner's tax year described in section 22e(5) of the state
2 housing development authority act of 1966, 1966 PA 346, MCL
3 125.1422e. Except as otherwise provided in subsection (2), a
4 qualified taxpayer that has been allocated a housing opportunity
5 tax credit listed on an allocation report shall claim the credit
6 for the qualified taxpayer's tax year described in section 22e(6)
7 of the state housing development authority act of 1966, 1966 PA
8 346, MCL 125.1422e. A qualified taxpayer shall not claim a housing
9 opportunity tax credit for a calendar year listed on an allocation
10 report unless the qualified taxpayer and the amount of the
11 qualified taxpayer's credit are listed on that allocation report.

12 (2) To claim a housing opportunity tax credit under this
13 section, the qualified taxpayer shall attach a copy of the
14 eligibility statement to the annual return filed under this part on
15 which the credit is claimed. However, if the owner of the qualified
16 project that has received an approval notice has submitted a final
17 cost certification and a request for an eligibility statement to
18 the authority but the authority has not yet approved the final cost
19 certification and issued the eligibility statement to the owner,
20 the qualified taxpayer may either claim the housing opportunity tax
21 credit on the qualified taxpayer's annual return for the tax year
22 as prescribed under subsection (1) by attaching a copy of the
23 approval notice for that qualified project or wait to claim the
24 credit on the qualified taxpayer's annual return for the qualified
25 taxpayer's tax year in which the eligibility statement for the
26 qualified project is issued.

27 (3) If any portion of a federal low-income housing tax credit
28 claimed for a qualified project for which a housing opportunity tax
29 credit is also claimed under this section is required to be



1 recaptured or is otherwise disallowed during the credit period
2 under section 42 of the internal revenue code, the qualified
3 taxpayer that claimed the housing opportunity tax credit under this
4 section for that same qualified project is also required to
5 recapture a portion of the housing opportunity tax credit as
6 provided under this subsection. The percentage of the housing
7 opportunity tax credit subject to recapture must be equal to the
8 percentage of the federal low-income housing tax credit subject to
9 recapture or otherwise disallowed during the same tax year. Any
10 housing opportunity tax credits recaptured or disallowed must be
11 added back to the income tax liability of the qualified taxpayer
12 that claimed the housing opportunity tax credit in a like amount
13 and must be included on the annual return of the qualified taxpayer
14 submitted for the tax year in which the recapture or disallowance
15 event is identified on the federal return.

16 (4) If an updated allocation report is provided to the
17 department under section 22e(8) (b) of the state housing development
18 authority act of 1966, 1966 PA 346, MCL 125.1422e, that reduces or
19 increases the amount of a housing opportunity tax credit that was
20 previously claimed by a qualified taxpayer, each qualified taxpayer
21 that had its credit amount adjusted shall file an amended return as
22 required under section 325 for the affected tax year to adjust the
23 amount of the credit accordingly.

24 (5) The housing opportunity tax credit allowed under this
25 section must be claimed after all other nonrefundable credits
26 allowed under this part. If the housing opportunity tax credit
27 allowed under this section for the tax year and any unused
28 carryforward of the housing opportunity tax credit allowed by this
29 section exceed the qualified taxpayer's tax liability for the tax



1 year, that portion that exceeds the tax liability for the tax year
2 must not be refunded but may be carried forward to offset tax
3 liability in subsequent tax years for 10 years or until used up,
4 whichever occurs first. If a qualified taxpayer has an unused
5 carryforward of a housing opportunity tax credit under this
6 section, the amount otherwise added under subsection (3) to the
7 qualified taxpayer's tax liability may instead be used to reduce
8 the qualified taxpayer's carryforward under this section.

9 (6) As used in this section:

10 (a) "Allocation report", "approval notice", "credit period",
11 "eligibility statement", "federal low-income housing tax credit",
12 "housing opportunity tax credit", "owner", and "qualified project"
13 mean those terms as defined under section 22e of the state housing
14 development authority act of 1966, 1966 PA 346, MCL 125.1422e.

15 (b) "Authority" means the Michigan state housing development
16 authority created under section 21 of the state housing development
17 authority act of 1966, 1966 PA 346, MCL 125.1421.

18 (c) "Qualified taxpayer" means any of the following:

19 (i) A taxpayer that is the owner of a qualified project and has
20 received an eligibility statement for that qualified project.

21 (ii) A taxpayer that is the owner of a qualified project that
22 received an approval notice and has submitted a final cost
23 certification and a request for an eligibility statement to the
24 authority but the authority has not yet approved the final cost
25 certification and issued the eligibility statement to the owner.

26 (iii) A taxpayer that owns a direct or indirect, through 1 or
27 more other flow-through entities, interest in an owner described
28 under subparagraph (i) or (ii) and that has been allocated a housing
29 opportunity tax credit at any time prior to filing an annual or



1 amended return under this part on which a housing opportunity tax
2 credit under this section is claimed.

3 Sec. 678. (1) Except as otherwise provided under this section,
4 for tax years that begin on and after January 1, 2027, a qualified
5 taxpayer may, in a form and manner as determined by the department,
6 claim a housing opportunity tax credit for a qualified project
7 against the tax imposed under this part in an amount equal to the
8 amount listed on the allocation report for that qualified taxpayer
9 for that qualified project. Except as otherwise provided in
10 subsection (2), a qualified taxpayer that is an owner shall claim a
11 housing opportunity tax credit listed on an allocation report for
12 the owner's tax year described in section 22e(5) of the state
13 housing development authority act of 1966, 1966 PA 346, MCL
14 125.1422e. Except as otherwise provided in subsection (2), a
15 qualified taxpayer that has been allocated a housing opportunity
16 tax credit listed on an allocation report shall claim the credit
17 for the qualified taxpayer's tax year described in section 22e(6)
18 of the state housing development authority act of 1966, 1966 PA
19 346, MCL 125.1422e. A qualified taxpayer shall not claim a housing
20 opportunity tax credit for a calendar year listed on an allocation
21 report unless the qualified taxpayer and the amount of the
22 qualified taxpayer's credit are listed on that allocation report.

23 (2) To claim a housing opportunity tax credit under this
24 section, the qualified taxpayer shall attach a copy of the
25 eligibility statement to the annual return filed under this part on
26 which the credit is claimed. However, if the owner of the qualified
27 project that has received an approval notice has submitted a final
28 cost certification and a request for an eligibility statement to
29 the authority but the authority has not yet approved the final cost



1 certification and issued the eligibility statement to the owner,
2 the qualified taxpayer may either claim the housing opportunity tax
3 credit on the qualified taxpayer's annual return for the tax year
4 as prescribed under subsection (1) by attaching a copy of the
5 approval notice for that qualified project or wait to claim the
6 credit on the qualified taxpayer's annual return for the qualified
7 taxpayer's tax year in which the eligibility statement for the
8 qualified project is issued.

9 (3) If any portion of a federal low-income housing tax credit
10 claimed for a qualified project for which a housing opportunity tax
11 credit is also claimed under this section or section 476a of the
12 insurance code of 1956, 1956 PA 218, MCL 500.476a, is required to
13 be recaptured or is otherwise disallowed during the credit period
14 under section 42 of the internal revenue code, the qualified
15 taxpayer that claimed the housing opportunity tax credit under this
16 section or section 476a of the insurance code of 1956, 1956 PA 218,
17 MCL 500.476a, for that same qualified project is also required to
18 recapture a portion of the housing opportunity tax credit as
19 provided under this subsection. The percentage of the housing
20 opportunity tax credit subject to recapture must be equal to the
21 percentage of the federal low-income housing tax credit subject to
22 recapture or otherwise disallowed during the same tax year. Except
23 for a qualified taxpayer that is subject to the tax under chapter
24 12, housing opportunity tax credits recaptured or disallowed must
25 be added back to the income tax liability of the qualified taxpayer
26 that claimed the housing opportunity tax credit in a like amount
27 and must be included on the annual return of the qualified taxpayer
28 submitted for the tax year in which the recapture or disallowance
29 event is identified on the federal return. For a qualified taxpayer



1 that, without regard to the amount of any recapture that may be
2 required under this subsection, is subject to the tax under chapter
3 12 for the tax year in which the recapture or disallowance event is
4 identified on the federal return, any housing opportunity tax
5 credits recaptured or disallowed under this subsection must be
6 added back to the qualified taxpayer's tax liability under chapter
7 12 in a like amount and must be included on the qualified
8 taxpayer's annual return submitted for the tax year in which the
9 recapture or disallowance event is identified on the federal
10 return.

11 (4) If an updated allocation report is provided to the
12 department under section 22e(8)(b) of the state housing development
13 authority act of 1966, 1966 PA 346, MCL 125.1422e, that reduces or
14 increases the amount of a housing opportunity tax credit that was
15 previously claimed by a qualified taxpayer, each qualified taxpayer
16 that had its credit amount adjusted shall file an amended return as
17 required under section 687 for the affected tax year to adjust the
18 amount of the credit accordingly.

19 (5) The housing opportunity tax credit allowed under this
20 section must be claimed after all other nonrefundable credits
21 allowed under this part. If the housing opportunity tax credit
22 allowed under this section for the tax year and any unused
23 carryforward of the housing opportunity tax credit allowed by this
24 section exceed the qualified taxpayer's tax liability for the tax
25 year, that portion that exceeds the tax liability for the tax year
26 must not be refunded but may be carried forward to offset tax
27 liability in subsequent tax years for 10 years or until used up,
28 whichever occurs first. If a qualified taxpayer has an unused
29 carryforward of a housing opportunity tax credit under this



1 section, the amount otherwise added under subsection (3) to the
2 qualified taxpayer's tax liability may instead be used to reduce
3 the qualified taxpayer's carryforward under this section.

4 (6) As used in this section:

5 (a) "Allocation report", "approval notice", "credit period",
6 "eligibility statement", "federal low-income housing tax credit",
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8 mean those terms as defined under section 22e of the state housing
9 development authority act of 1966, 1966 PA 346, MCL 125.1422e.

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19 authority but the authority has not yet approved the final cost
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21 (iii) A taxpayer that owns a direct or indirect, through 1 or
22 more other flow-through entities, interest in an owner described
23 under subparagraph (i) or (ii) and that has been allocated a housing
24 opportunity tax credit at any time prior to filing an annual or
25 amended return under this part on which a housing opportunity tax
26 credit under this section is claimed.

27 Enacting section 1. This amendatory act does not take effect
28 unless all of the following bills of the 103rd Legislature are
29 enacted into law:



- 1 (a) Senate Bill No. 966.
- 2 (b) House Bill No. 5807.



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